

Member ID: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (22 @ 3 points each) _____ (66 points)

Job 1 – Inventory Costing _____ (40 points)

Job 2 – Adjusting Entries _____ (37 points)

Job 3 – Effects on Income Statement _____ (48 points)

TOTAL POINTS _____ ***(251 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. All plant assets are depreciable except _____.
 - a. warehouse equipment
 - b. factories
 - c. machines
 - d. land
2. When more time is needed to pay an account, a business can accept a _____ from a customer.
 - a. note receivable
 - b. note payable
 - c. letter of extension
 - d. notice of default
3. Where are Notes Payables due more than a year out shown on a Balance Sheet?
 - a. Current Liabilities section
 - b. Plant Assets section
 - c. Long-term Liabilities section
 - d. Notes Payables are not shown on the Balance Sheet
4. The general ledger of a two-owner partnership will _____.
 - a. contain one capital account that represents the sum of the capital for each partner
 - b. contain a separate capital account for each partner, but only one drawing account
 - c. contain a separate capital account, and a separate drawing account, for each partner
 - d. not contain a capital account
5. Which of the following is an asset?
 - a. Unearned Rent
 - b. Rent Revenue
 - c. Rent Expense
 - d. Prepaid Rent
6. With everything else being equal, what effect will a larger ending merchandise inventory have on the Financial Statements of the business?
 - a. Increase Gross Profit
 - b. Decrease Net Income
 - c. Decrease Total Assets
 - d. Increase Liabilities
7. Declaring a dividend results in what journal entry?
 - a. Dr Dividends, Cr Retained Earnings
 - b. Dr Retained Earnings, Cr Dividends Payable
 - c. Dr Dividends, Cr Dividends Payable
 - d. Dr Dividends, Cr Cash

8. Which method of inventory costing results in the highest net income, assuming prices are rising?
 - a. FIFO
 - b. Weighted Average
 - c. Market Value
 - d. LIFO
9. A company purchases merchandise with a list price of \$5,600, and is granted a trade discount of 60%. What amount is debited to Purchases?
 - a. \$2,240
 - b. \$3,360
 - c. \$5,264
 - d. \$5,600
10. What section of the Cash Flows Statement would show an issuance of stock?
 - a. Operating
 - b. Investing
 - c. Expensing
 - d. Financing
11. What type of account is Copyright?
 - a. Current Asset
 - b. Plant Asset
 - c. Contra Asset
 - d. Intangible Asset
12. Cash received for goods or services which have not yet been provided is a(n) _____.
 - a. deferred revenue
 - b. deferred expense
 - c. prepaid expense
 - d. unearned revenue
13. Authorizing an issuance of capital stock has what effect on the Balance Sheet?
 - a. Increases assets and stockholders' equity
 - b. Decreases assets and stockholders' equity
 - c. Increases assets and liabilities
 - d. The authorization of a stock issuance has no effect on the Balance Sheet.
14. The Accounts Payable account in the general ledger is an example of a _____.
 - a. contra account
 - b. controlling account
 - c. special account
 - d. subsidiary account

15. How often does an employer pay unemployment tax to the government?
- Every pay period
 - Monthly
 - Quarterly
 - Annually
16. A patent that has an expected life of 10 years and a legal life of 15 years will be amortized over ____.
- 10 years
 - 12 ½ years
 - 15 years
 - Patents cannot be amortized.
17. Which type of stock allows voting rights?
- Preferred
 - Treasury
 - No par
 - Common
18. A partner invests \$1,000 plus a computer with an original cost of \$1,500, but a current market value of \$700. What is the credit to that partner's capital account?
- \$1,000
 - \$1,500
 - \$1,700
 - \$2,500
19. Who performs audits of a public corporation's financial statements?
- Independent CPA firm
 - Board of Directors
 - Officers of the company
 - Corporate accounting department
20. Which action will increase gross profit percentage?
- Increasing the quantity of merchandise sold
 - Increasing the selling price of merchandise
 - Increasing the cost of merchandise
 - Decreasing the selling price of merchandise
21. What is the formula for Current Ratio?
- Current Assets + Current Liabilities
 - Current Assets – Current Liabilities
 - Current Assets / Current Liabilities
 - Current Assets * Current Liabilities

22. The aging of accounts receivable shows an expected uncollectible balance of \$4,500. The current balance of the Allowance for Uncollectible Accounts shows a debit of \$200. What is the adjustment amount?
- a. \$200
 - b. \$4,300
 - c. \$4,500
 - d. \$4,700
23. What does the amount of prepaid advertising expiring during a fiscal period represent?
- a. An expense
 - b. A liability
 - c. An asset
 - d. A revenue
24. Which of the following represents equity financing for a corporation?
- a. Issuing bonds
 - b. Issuing stock
 - c. Signing a notes payable at a bank
 - d. Borrowing on a credit line
25. What accounting concept is represented by using the FIFO method for each year's Income Statement?
- a. Historical Cost
 - b. Matching Expenses with Revenue
 - c. Consistent Reporting
 - d. Adequate Disclosure
26. Which of the following is a contra account?
- a. Prepaid Rent
 - b. Capital Stock - Preferred
 - c. Treasury Stock
 - d. Goodwill
27. How often must publicly-traded corporations release earnings reports?
- a. Monthly
 - b. Quarterly
 - c. Annually
 - d. When they issue stock
28. A corporation declares a dividend on December 15th, 2021. The corporation pays the dividend on January 15th, 2022. What effect is shown on the 2021 financial statements?
- a. Decrease in Stockholders' Equity
 - b. Decrease in Assets
 - c. Decrease in Liabilities
 - d. Decrease in Net Income

29. A vertical analysis of the Balance Sheet could show _____.
 a. the percentage increase in total assets from the prior year
 b. the percentage current assets represents of total assets
 c. the percentage of total assets to planned total assets
 d. the return on assets
30. What depreciation method will result in the highest depreciation expense in year one?
 a. Straight line
 b. Sum-of-the-years digits
 c. Units of production
 d. Double-declining balance

Short Answer Problems – 66 Total Points

1. On May 8, 2022 Steele Inc. accepts a 90-day, 6.8% note from Jacob West for the \$740 that Jacob owes. *Find the following:*
- a. Account debited on May 8 _____
 - b. Account credited on May 8 _____
 - c. Maturity date of note _____
 - d. Interest on the note _____
 - e. Maturity value of the note _____
 - f. Account debited at maturity _____
 - g. Accounts credited at maturity _____
2. Francisco's Fences uses the aging of accounts receivable to determine its adjusting entry for the Allowance for Uncollectible Accounts account. The totals of each aging period of accounts receivable, along with the respective percentage of estimated uncollectible, as of December 31, 2022 are shown below. The balance of Allowance for Uncollectible Accounts on December 31 before the adjusting entry is \$123 credit.
- Not yet due – 0.2% - \$6,017
 - 1-30 days past due – 1.5% - \$4,250
 - 31-60 days past due – 4.0% - \$542
 - 60 days past due – 50.0% - \$968

Find the following:

- a. December 31 Accounts Receivable Balance _____
- b. Total estimated uncollectible _____

- c. Adjusting entry amount _____
 - d. Adjusting Entry Debit Account _____
 - e. Adjusting Entry Credit Account _____
3. Maria Diaz earns \$16.84 per hour and is paid time and a half for any hours worked over 40 in a week. Maria works 42 ½ hours this week. Deductions for Maria include \$130 deducted in Income Tax, 6.2% of her earnings for Social Security Tax, and 1.45% of her earnings for Medicare Tax. *Find the following:*
- a. Regular Earnings _____
 - b. Overtime Earnings _____
 - c. Net Pay _____
4. The 2021 Statement of Stockholders' Equity for Firebird Inc. showed an ending balance of Capital Stock of 70,000 shares, \$10 par value. It also showed an ending Retained Earnings balance of \$385,660. During 2022 Firebird Inc issued 2,000 additional shares of stock at par, and declared a dividend of \$0.80 per share, including the additional issuance of shares. Its 2022 Income Statement showed a net income of \$325,715. What are the ending balances on the 2022 Statement of Stockholders' Equity for Firebird Inc.?
- a. Capital Stock _____
 - b. Retained Earnings _____
 - c. Total Stockholders' Equity _____
5. Greenwood Hardware had sales of \$205,314 and sales discounts of \$15,650 for this fiscal period. Greenwood started the fiscal period with a beginning merchandise inventory of \$73,460, made purchases of \$107,051, and had purchases returns of \$9,172. At the end of the fiscal period Greenwood had merchandise inventory of \$64,535. What are the amounts shown on the 2022 Income Statement?
- a. Net Sales _____
 - b. Cost of Merchandise Sold _____
 - c. Gross Profit _____
 - d. Gross Profit Margin _____

Job 1 – Inventory Costing – 40 Total Points

Directions for FIFO Table 1: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 47, determine FIFO units on hand and FIFO cost. Total the units purchased, total cost, FIFO units and FIFO cost columns.

Purchase Dates	Units Purchased	Unit Price	Total Cost	FIFO Units On Hand	FIFO Cost
Jan 1 beginning inventory	15	8.40			
Feb 14 purchase	20	8.72			
May 23 purchase	20	8.74			
Aug 8 purchase	35	9.10			
Oct 12 purchase	40	9.35			
Dec 6 purchase	25	9.50			
Totals					

Directions for LIFO Table 2: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 47, determine LIFO units on hand and LIFO cost. Total the units purchased, total cost, LIFO units and LIFO cost columns.

Purchase Dates	Units Purchased	Unit Price	Total Cost	LIFO Units On Hand	LIFO Cost
Jan 1 beginning inventory	15	8.40			
Feb 14 purchase	20	8.72			
May 23 purchase	20	8.74			
Aug 8 purchase	35	9.10			
Oct 12 purchase	40	9.35			
Dec 6 purchase	25	9.50			
Totals					

Directions for Weighted Average: From the information in the tables above, find the average cost per unit, and then the ending inventory cost using the weighted average method.

Weighted Average Cost per Unit = _____ Ending Inventory Value = _____

Job 2 – Adjusting Entries – 37 Total Points

Directions: The following adjustments are required at the end of the fiscal period May 1st to May 31st, 2022 for Red Baron Hardware. Determine the accounts and amounts to be debited and credited for each letter and record the adjusting entries as of May 31st in the general journal provided.

- a. Red Baron paid \$36,000 on January 1st for a one year lease on their store. Record the rent expense adjustment.
- b. The General Ledger shows a balance of \$2,360 in the Supplies account. A physical count of supplies showed \$1,745 actually on hand. Record the Supplies adjustment.
- c. The General Ledger shows a balance of \$81,750 for Merchandise Inventory. A physical count of merchandise showed \$84,630 actually on hand. Record the merchandise inventory adjustment.
- d. Red Baron took out a six-month insurance policy on January 1st, 2022. The cost of \$1,500 was paid in full on January 1st. Record the insurance expense adjustment.
- e. Red Baron signed a promissory note on May 1st. They received \$3,500 at that time, with terms of the note being 90 days and 5.5%. Record the interest expense adjustment.
- f. Red Baron entered into a six-month agreement on March 1st with Eliza Torres, allowing Eliza to operate a snack bar inside its store. She paid \$2,100 at the time the agreement was signed. Record the rental revenue adjustment.

GENERAL JOURNAL

DATE	DESCRIPTION	POST REF	DEBIT	CREDIT

Job 3 – Effects on the Income Statement – 40 Total Points

Directions: Selected transactions for Schmidt IT Services are shown. Analyze each transaction and its effect on the 2022 Income Statement. Determine whether the effect is an increase to net income, a decrease to net income, or has no effect on net income **for the year 2022**. Then identify the amount of the increase or decrease. If no effect, enter zero for the amount.

1. February 1 – Paid 2,400 cash for January utility usage.
2. March 1 – Issued 25,000 shares of \$10 par value stock at par.
3. March 15 – Bought 1,500 worth of advertising, paying cash in full.
4. April 4 – Purchased equipment with a \$34,000 cost, paying cash in full. The truck has a useful life of 4 years, with a salvage value of \$2,000.
5. July 16 - Sold \$12,000 worth of IT services to Ricky Ricardo on account, plus 7.5% sales tax. Terms of sale were 2/10, n/30.
6. July 25 – Received cash from Ricky Ricardo on account to pay what was owed from the July 16th sale.
7. September 1 – Declared a dividend of 1.25 per share. Schmidt has 500,000 shares of stock issued and outstanding.
8. October 1 – Paid amount owed on dividend from September 1 declaration.
9. October 15 – Paid the payroll. Total earnings are \$7,800; Deductions include Federal Tax at an average of 16.5%, Social Security Tax of 6.2%, and Medicare Tax of 1.45%.
10. November 15 – Received a 90-day, 6% promissory note from Rachel McElroy for past-due accounts receivable in the amount of \$2,000.
11. November 20 – Received bankruptcy notice on Curtis Conway. Curtis had a \$750 accounts receivable balance. Schmidt uses the Allowance method of Accounts Receivable.
12. December 1 - Performed IT services for Jensen Company worth \$1,500, plus 7.5% sales tax. Jensen paid cash at the time of the services.

Transaction Number	Effect on Net Income Increase, Decrease, None	Amount of Effect
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
11		
12		